

Tesla, Inc.
TSLA NASDAQ

Hold \$357.07 ▲ 0.64% 12M Price Target \$400.00 52-Week Range \$297.38 – \$498.83

Market Cap
\$1.41T

TSLA: Bears Capitulate as AI Narrative Overpowers EV Weakness

WHAT HAPPENED

- Stock bounced ~0.6% on two things working together: European registrations jumped in September (actual demand data, not vibes) AND Wall Street sell ratings hit a 3-year low. Translation: the shorts are throwing in the towel because Musk's AI pivot (Optimus robots, FSD, Dojo supercomputer) is giving bulls a new story even as the core car business faces real pressure from BYD.
- Options flow is screaming bullish — call volume is 2x put volume, and there's unusual buying in near-term \$355-360 calls (bets the stock keeps grinding higher into October). Someone with real money thinks earnings or an event-driven catalyst is coming.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

POLICY & POLITICAL WATCH

Two policy threads matter right now: (1) the federal \$7,500 EV tax credit situation — under the current administration it's been scaled back, which directly hurts Tesla's US margins because they have to discount to maintain volume. (2) Tariffs on Chinese EVs and batteries — these actually HELP Tesla by keeping BYD out of the US market, but they also raise Tesla's own component costs since they source significant battery materials from China. Also watch the NHTSA's ongoing FSD investigation — any ruling that restricts autonomous driving deployment would gut the AI thesis that's holding this valuation up.

IS IT EXPENSIVE?

At ~\$357 with a \$1.41 trillion market cap, you're paying roughly \$146 for every \$1 of expected 2026 earnings — that is absurdly expensive for a company whose car business is growing in single digits. For context, Toyota trades at ~10x earnings. The only way this math works is if you believe Optimus and robotaxis become real, multi-hundred-billion-dollar businesses in the next 3-5 years — essentially you're paying 2030 prices today for 2026 fundamentals.

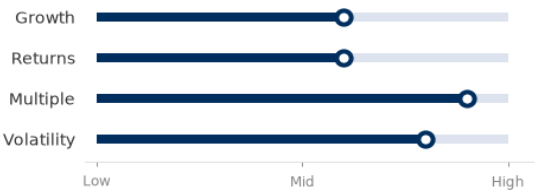
WHAT COULD GO WRONG

- BYD keeps gaining share globally — if Tesla's Q3 delivery numbers (due in days) disappoint, the whole "growth story" thesis cracks and the stock could retrace to \$300 fast.
- The AI premium is a confidence game — if Optimus timelines slip again (Musk has missed every deadline on FSD), investors could suddenly re-rate this as a car company, which means 50%+ downside.

Key Data

Price (USD)	\$357.07
12M Price Target	\$400.00
Upside / (Downside)	+12.0%
Market Cap	\$1.41T
FY2026E Revenue	\$112M
FY2027E Revenue	\$135M
FY2026E EPS	\$2.45
FY2027E EPS	\$3.20
Fwd P/E	146.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$385.00	\$360.00	\$330.00
6 Months	\$450.00	\$375.00	\$290.00
1 Year	\$500.00	\$400.00	\$270.00
2 Years	\$650.00	\$450.00	\$240.00
5 Years	\$900.00	\$550.00	\$200.00
10 Years	\$1500.00	\$700.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+1.84%) and Tech (+1.04%) — energy is riding oil/geopolitical tension, tech is still being powered by the AI capex super-cycle which indirectly supports Tesla's AI story.

COOLING OFF: Consumer Staples and Consumer Discretionary are flat-to-down over 5 days — a signal that the consumer is getting squeezed, which is bad for big-ticket purchases like cars.

ROTATION WATCH: Money is clearly favoring AI-levered names over pure consumer plays. Tesla sits awkwardly between both — it benefits from AI enthusiasm but gets hurt by weak consumer sentiment.

RELATED PLAY: If you believe the Tesla AI story, the picks-and-shovels plays are NVDA (chips for Dojo-type systems) and the lithium/battery supply chain names. Also worth watching Uber (UBER) — if Tesla's robotaxi launches, it's existential for Uber, and that creates a pairs trade opportunity.

WHO'S WINNING IN THIS SPACE?

- **BYD (BYDDY):** Dominating Tesla in global EV volume, especially China and now Europe — their lower-cost models are winning the mass market.
- **NVDA (Nvidia):** Still the king of AI infrastructure, benefits from every company's AI buildout including Tesla's own Dojo spending.

TSLA CONTEXT: Tesla is lagging BYD on fundamentals but leading on narrative — it's underperforming the broader Nasdaq year-to-date (down 21% per the headlines) which is actually why bears are capitulating. The "pain trade" from here is probably higher as shorts cover, but the fundamental setup still favors BYD over Tesla for the next 2-3 quarters.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$320-340 on macro pullbacks

Time Horizon: 12-24 months — Optimus production milestones and robotaxi scale-up

Thesis Invalidation: FSD/robotaxi rollout stalls OR China deliveries drop >15% YoY

Hedging: Pair with long BYD (ADR) or short QQQ for AI-beta hedge